



Prepare 50% Faster

Study Notes

Economic Reforms in India

Economic Reforms

- As we know economy involves the production and distribution of various goods and services using the available resources, to fulfill various needs of humankind.
- This crucial question of “what to produce” and “how to distribute” involves many factors which are dynamic in nature. Such as the geography, society, level of development, population etc.
- As these factors keep changing, so does the economic policies and decisions. In broader perspective this is what Economic Reform does.
- Economic reforms can be defined as “Change in policies and decisions which affect the economic activities of a territory, as per requirement of the changing time.”
- It is of two types- Microeconomic reform and Macro economic reforms.

Economic Reforms

Macroeconomic reforms are policies to help overall economy grow and develop along with increased economic efficiency and productivity. It takes care of factors such as growth, development, employment etc.

Microeconomic reforms comprise policies to achieve improvements in economic efficiency in individual sectors of the economy or economy-wide policies with an emphasis on economic efficiency, rather than other goals such as equity, employment or development.

- However, in present times Economic reforms generally denotes reduced government role in economic activities and decision making. This deregulation or reduced regulation is termed as Liberalization.
- This definition became popular after “Washington Consensus”.
- Washington Consensus - It is a set of Ten economic policy prescriptions considered to constitute the “standard” reform package promoted for developing countries in crisis by Washington, D.C.-based institutions such as the IMF and World Bank. It focuses on Macroeconomic adjustments focusing on liberalization and privatization and Trade liberalization.
- During 1980s and 1990s many developing countries from Asia and Africa faced economic crisis and took help of these institutions to stabilize their economy. These institutions drove economies towards growth and development using: Washington Consensus” prescriptions.

Economic Reforms of 1991

During Narasimha Rao’s government in 1991, India met with the economic crisis which occurred due to its external debt. Because of the debt, the government was not able to make the payments for the borrowings it had made from the foreign countries.

The government had to adopt new measures to reform the conditions of the Indian economy. There were many programs and initiatives introduced primarily consisted of liberalization, privatization, and globalization.

The Crisis of 1991

The prime reason of the crisis of 1991 was inefficient management of the economy of India in the 1980s.

The revenues that government was generating were not enough to meet the ever-increasing expenses. Thus, the government had to borrow to pay for the debts and thus was caught in a term called debt-trap.

Debt-trap is the deficit that occurs due to an increase in government expenses in comparison to the government's revenue.

Due to the failure of earlier economic policies till 1990 there was a need for new economic policies. The situation was worsening as India had foreign reserves which could last only for the next two weeks.

There was a shortage of new loans and Indian people living abroad (NRIs) were withdrawing money in large amounts.

There was a little confidence for international investors towards the Indian economy.

These points will highlight the need for a new economic policy in India. Crisis in Gulf countries, increase in fiscal deficit, prices rising, the worse balance of payments, public sector units (PSUs) performing badly, and many more.

Reforms

India approached the world and international monetary fund for loan and received \$7 million to manage their crisis.

As a result, international firms and agencies expected that India will open up the door in the country by removing various restrictions majorly on private sector and thereby removing the trade restrictions between India and the other foreign countries.

India agreed to the terms and conditions and as a result, new reforms were introduced. These economic reforms in India are structurally classified as liberalization, globalization, and privatization.

Liberalization

Liberalization was brought up with the fact that any restrictions which became a hindrance to development and growth will be put to an end. Largely, these reforms made government regulations and policies lose. It allowed for opening up of economic borders for foreign investment as well as multinationals.

There were many economic reforms introduced under liberalization. These included expansions of production capacity, abolishing industrial licensing by the government, de-reserving producing areas, and freedom to import goods.

Privatization

Privatization largely refers to giving more opportunities to the private sector, such that the role of the public sector is reduced. The main objectives of privatization are reducing the workload of the public sector, providing better goods and services to the end users, improving the government's financial condition, and many more. Privatization is a way to allow the entry of foreign direct investments and bringing healthy competition into the economy.

Globalization

Globalization in simpler terms is to connect with the world. In this context, globalization means the integration of the economy of India with that of the world. Thus, it encourages private and foreign investment and also foreign trade. Globalization aims to establish the links in such a way that the Indian happenings can be met by the world or vice versa.

Reforms In 30 Years That Changed India

New Industrial Policy

- It was launched on July 24, 1991.
- It dismantled the industrial licensing system and abolished the requirement of obtaining industrial license for all but five sectors (Aerospace & defense equipment, Hazardous chemicals, Industrial explosives, Tobacco products and Distillation and brewing of alcoholic drinks).
- It opened new industries services for private sector, both domestic and foreign.
- FDI has been allowed in infrastructure sector.
- Focus on PPP Public Private Partnership.
- The list of items reserved for small scale industries were reduced and periodically reviewed (only 20).

Trade Policy reforms

- Import licensing system was dismantled.
- Non-tariff barriers were phased out.
- Tariffs have been reduced substantially. It has come down from 150% in 1990 to 5.8% in 2010 for non-agricultural products.
- Quota regimes (physical limit on the quantity of a good that can be imported into a country in a given period of time) have been removed in phased manner.
- Exchange rates reforms were initiated.
- Rupee was devalued twice in July 1991.
- Partial convertibility of rupee on current account was introduced in Budget 1992-93.

- Full convertibility on current account was introduced in August 1994.
- The Foreign Trade Policy of 2023 is the recent one to take India's exports to greater heights.

Capital Market reforms

- SEBI was established in 1988 but it was given statutory powers through The Securities and Exchange Board of India Act 1992.
- Online trading and dematerialized trading were introduced
- FII (Foreign Institutional Investors) were promoted through standard guidelines by SEBI.
- Abolition of capital issues control (Under Capital Issues (Control) Act, 1947, government used to control capital issue to ensure that investment in the private corporate sector does not violate priorities and objectives laid down in the Five-Year Plans or flow into unproductive sectors).

Government Borrowings

- India's bond markets have developed mainly in the government bond market as domestic financial institutions have been obliged to maintain a certain percentage of government securities to facilitate a smooth absorption of government bonds which had been issued to finance (monetize) the fiscal deficits.
- Clearing Corporation of India Ltd (CCIL) is a Central Counterparty (CCP) which was set up in April 2001 to provide clearing and settlement for transactions in Government securities, foreign exchange and money markets in the country.

Interest Rate Liberalisation

- Interest rates are determined by the market factors rather than being set by the regulators. Through market competition mechanisms, financial institutions are permitted to set the price interest rates autonomously.
- Reserve Bank of India deregulated interest rates on deposits, other than savings bank deposits.

Aadhaar

- Aadhaar is a 12-digit individual identification number issued by UIDAI (Unique identification authority of India) on behalf of Government of India. It enabled Easy hassle-free access to banking, LPG, phone number, Government schemes etc.

Insolvency and Bankruptcy Code

- The Insolvency and Bankruptcy Code, 2016 is the bankruptcy law of India which seeks to consolidate the existing framework by creating a single law for insolvency and bankruptcy.
- It lays down clear-cut and faster insolvency proceedings to help creditors, such as banks, recover dues and prevent bad loans, a key drag on the economy.
- Insolvency is a situation where individuals or companies are unable to repay their outstanding debt.

- Bankruptcy is a situation whereby a court of competent jurisdiction has declared a person or other entity insolvent, having passed appropriate orders to resolve it and protect the rights of the creditors. It is a legal declaration of one's inability to pay off debts.

Goods and Services Tax (GST)

- The Goods and Services Tax (GST) is a value-added tax levied on most goods and services sold for domestic consumption. The GST is paid by consumers, but it is remitted to the government by the businesses selling the goods and services.
- GST Bill was first introduced in 2014 as The Constitution (122nd Amendment) Bill.
- This got an approval in 2016 and was renumbered in the statute by Rajya Sabha as The Constitution (101st Amendment) Act, 2016.
- It subsumed multiple indirect taxes that were prevalent.
- GST is applicable on 'supply' of goods or services as against the old concept on the manufacture of goods or on sale of goods or on provision of services.
- GST is based on the principle of destination-based consumption taxation as against the present principle of origin-based taxation.

Monetary Policy Committee

- The Reserve Bank of India Act, 1934 was amended by Finance Act (India), 2016 to constitute MPC which will bring more transparency and accountability in fixing India's Monetary Policy.
- It was constituted as per Section 45ZB under the RBI Act of 1934 by the Central Government. The first meeting of MPC was conducted on 3rd October 2016 in Mumbai.
- The committee determines the policy interest rate required to achieve the inflation target.
- The MPC is required to meet at least four times in a year.
- The quorum for the meeting of the MPC is four members.
- Each member of the MPC has one vote, and in the event of an equality of votes, the Governor has a second or casting vote.